

GNA Axles Ltd (NSE: GNA)

VALUATION VERDICT

UNDERVALUED

Fair Value Band	Rs. 555 - Rs. 605	Midpoint: Rs. 580
Current Market Price	Rs. 475 (as of 10-Jul-2026)	Discount to Midpoint: -18.1%
Report Date: 11-Jul-2026	Analyst: Senior Valuation Specialist	Exchange: NSE Sector: Auto Components

CMP (Rs.)	Market Cap	P/E (TTM)	P/B	EV/EBITDA	ROCE	ROE	D/E
475	Rs. 2,041 Cr	17.5x	2.0x	9.23x	14.3%	12.2%	0.22

SECTION 2 — BUSINESS TYPE & WHY IT MATTERS FOR VALUATION

- **Sector & Sub-sector:** GNA Axles Ltd operates in the Auto Components sector, specifically in the Driveline & Axle Assemblies sub-segment. It manufactures axle shafts, spindles, and semi-floating rear axles primarily for tractors, commercial vehicles, and off-highway equipment.
- **Asset-Heavy Industrial:** GNA is a capital-intensive manufacturer with gross fixed assets of Rs. 459 Cr (FY26) and an ongoing Rs. 800 Cr EV-axle capex programme under its GNA Mobility subsidiary. This places it firmly in the Asset-Heavy Industrial bucket — not a capital-light or platform business.
- **Cyclical Revenue Mix:** Approximately 55% domestic (tractors + CVs) and 45% export (North America, Europe). Both segments are inherently cyclical — domestic tractor demand tracks rural income and monsoon cycles; export volumes follow global OEM production schedules.
- **Regulated? No. Recurring? Partially.** GNA is not a regulated utility. Revenue is partially recurring via long-term OEM supply agreements but remains project/volume-sensitive — a 10% volume dip at a key customer directly hits the top line.
- **Why This Classification Drives Methodology:** Asset-heavy cyclicals are valued on EV/EBITDA (not P/E) because: (a) depreciation is large and non-economic near term, distorting earnings; (b) EBITDA best represents operational earnings power stripped of capital structure; (c) peers globally use EV/EBITDA as the comparable metric. P/E would penalise GNA unfairly during its peak capex phase.
- **Capital Allocation DNA:** Historically FCF-constrained due to high working capital (debtor days 151 days) and active capex. FCF turned meaningfully positive only in FY26 (Rs. 56 Cr). GNA has prioritised reinvestment into EV driveline capability over distributions — a growth-first allocator at this stage.

SECTION 3 — METHODOLOGY CHOSEN & RATIONALE

• **Primary Method: EV/EBITDA (Cycle-Adjusted, weight 70%)** — This is the gold standard for asset-heavy industrials for three specific reasons: (1) EBITDA strips out the Rs. 70-100 Cr annual depreciation burden that artificially deflates PAT during GNA's investment phase; (2) it captures the full enterprise including Rs. 218 Cr debt; (3) it enables direct comparison with global peers who are consistently valued on this metric. Forward FY28E EBITDA of Rs. 272 Cr is used as the normalised anchor.

• **Secondary Method: DCF (FCFF, WACC 13.5%, weight 30%)** — DCF serves as a sanity check on the multiple-based valuation. Because GNA's FCF conversion is constrained near-term (high debtors, active capex), DCF will inherently produce a more conservative estimate — which is the intended check. A wide divergence between DCF and EV/EBITDA signals risk; a moderate divergence (as here) is expected and confirms the multiple approach is not stretched.

• **Methods Explicitly Rejected:**

- P/E: Rejected because large and growing depreciation (Rs. 57 Cr FY25 -> Rs. 70 Cr FY26 -> Rs. 78-90 Cr estimated FY27-28E) compresses reported PAT significantly. FY27E EPS of Rs. 25.3 dips below FY26's Rs. 27.24 purely due to the depreciation load, making P/E misleading for a company that is structurally profitable and growing.

- P/BV: Rejected because GNA is not a financial company; book value of Rs. 234/share does not reflect the earning power of its precision manufacturing assets and brand relationships.

- NAV: Not applicable — GNA is a manufacturer, not a real estate or project developer.

• **Blended Weighting:** 70% EV/EBITDA + 30% DCF. Higher weight on EV/EBITDA because: (a) it is the industry-standard lens; (b) DCF is acutely sensitive to near-term FCF which is depressed by one-time capex. The 30% DCF weight ensures discipline — if the multiple-implied price requires heroic DCF assumptions to justify, the blended value would reveal the overstretch.

SECTION 4 — KEY ASSUMPTIONS

Assumption	Value Used	Basis / Rationale
EV/EBITDA — Target Multiple	11.0x	Current 9.23x; historical avg ~10-12x for mid-cap auto OEM suppliers; 20-30% discount to large-cap peers (Endurance 18x, Sona BLW 36x) for size and liquidity; 11x reflects fair entry for a quality axle-shaft supplier with EV optionality
EV/EBITDA — EBITDA Used	Rs. 272 Cr (FY28E)	Forward normalised EBITDA; avoids FY27E dip; FY28E assumes 16% OPM (in line with FY26 trajectory of 16.1%) on Rs. 1,700 Cr revenue
EV/EBITDA — Net Debt (FY28E)	Rs. 170 Cr	Assumes FCF of ~Rs. 100-120 Cr over FY27-28 reduces debt from FY26's Rs. 218 Cr; conservative — does not assume full deleveraging
EV/EBITDA — Shares Outstanding	4.295 Cr	From Screener: MCap Rs. 2041 Cr / CMP Rs. 475 = 4.295 Cr; cross-checked vs EPS (PAT 117 / EPS 27.24 = 4.295 Cr)
DCF — WACC	13.5%	Risk-free rate 7.0% (10Y G-Sec) + Beta 0.90 x ERP 5.5% (India) + Size/Liquidity premium 1.5% = 13.45%, rounded to 13.5%
DCF — Revenue CAGR (FY27-29)	~7% p.a.	Below GNA's 5Y historical (~8% CAGR FY21-26) to be conservative; reflects tractor cycle uncertainty and CV moderation in near-term

DCF — Revenue CAGR (FY30-31)	~5% p.a.	Reflects matured domestic penetration and steady-state export growth; EV revenue ramp begins to contribute meaningfully only post-FY28
DCF — EBITDA Margin (FY27-31)	15.0% - 16.5%	In line with FY26 exit rate of 16.1%; modest expansion through operating leverage and EV margin normalisation; does not assume peak-cycle margins
DCF — Tax Rate	26%	Consistent with FY25-26 effective tax rate; company under standard taxation regime
DCF — Capex (FY27-31)	Rs. 100 Cr -> Rs. 70 Cr declining	GNA Mobility EV programme peaks in FY27E then tapers; maintenance capex ~Rs. 50-60 Cr per annum
DCF — Terminal Growth Rate (TGR)	5.5%	India nominal GDP growth; appropriate for a profitable manufacturer with proven export track record and EV pivot underway; not a declining business
DCF — Explicit Forecast Period	5 years (FY27-31E)	Standard for cyclical industrials; beyond 5 years, TV captures all remaining value with conservative TGR

SECTION 5 — VALUATION COMPUTATION

5A — PRIMARY: EV/EBITDA VALUATION

Item	Value	Workings
FY28E Revenue (E)	Rs. 1,700 Cr	FY26 base Rs. 1,478 Cr growing at ~7% p.a.
FY28E EBITDA (E)	Rs. 272 Cr	OPM 16.0% x Revenue Rs. 1,700 Cr
Target EV/EBITDA Multiple	11.0x	Justified in Section 4; represents 19% premium to current 9.23x
Target Enterprise Value	Rs. 2,992 Cr	11.0 x Rs. 272 Cr
Less: Net Debt (FY28E Estimate)	Rs. 170 Cr	FY26 debt Rs. 218 Cr, reduced by FCF generation FY27-28E
Equity Value	Rs. 2,822 Cr	Rs. 2,992 Cr - Rs. 170 Cr
Shares Outstanding	4.295 Cr	From Screener.in (Jul-2026)
EV/EBITDA Fair Value Per Share	Rs. 657	Rs. 2,822 Cr / 4.295 Cr

EV/EBITDA Sensitivity — Fair Value Per Share (Rs.)

- Net Debt assumption: Rs. 170 Cr | Shares: 4.295 Cr in all scenarios

EV/EBITDA Multiple	EBITDA Rs. 237 Cr (FY27E)	EBITDA Rs. 272 Cr (FY28E) - Base	EBITDA Rs. 295 Cr (FY29E)
9x (Bear)	Rs. 457	Rs. 530	Rs. 578
11x (Base)	Rs. 567	Rs. 657	Rs. 716
13x (Bull)	Rs. 677	Rs. 784	Rs. 853

5B — SECONDARY: DCF VALUATION (WACC 13.5%, TGR 5.5%)

Year	Revenue (Rs. Cr)	EBITDA (Rs. Cr)	EBIT (Rs. Cr)	NOPAT (26% tax)	D&A; (Rs. Cr)	Capex (Rs. Cr)	FCFF (Rs. Cr)	Disc. Factor @13.5%	PV of FCFF (Rs. Cr)
FY27E	1,580	237	162	120	75	100	95	0.881	84
FY28E	1,700	272	187	138	85	85	138	0.776	107
FY29E	1,819	295	205	152	90	80	162	0.683	111
FY30E	1,946	316	221	164	95	75	184	0.602	111
FY31E	2,043	338	238	176	100	70	206	0.530	109
									522

DCF Bridge Item	Value	Notes
Terminal FCF (FY31E)	Rs. 206 Cr	
Terminal Growth Rate (TGR)	5.5%	India nominal GDP; sustainable for a growing exporter
WACC - TGR	8.0% (13.5% - 5.5%)	
Terminal Value (TV)	Rs. 2,716 Cr	206 x 1.055 / 0.08
PV of Terminal Value	Rs. 1,441 Cr	Rs. 2,716 / 1.135^5 = 2,716 / 1.885
Enterprise Value (DCF)	Rs. 1,963 Cr	Sum PV FCFs Rs. 522 Cr + PV TV Rs. 1,441 Cr
Less: Net Debt	Rs. 170 Cr (FY28E)	
Equity Value (DCF)	Rs. 1,793 Cr	Rs. 1,963 - Rs. 170 Cr
DCF Fair Value Per Share	Rs. 417	Rs. 1,793 Cr / 4.295 Cr shares

DCF Sensitivity — Fair Value Per Share (Rs.) | WACC vs TGR

WACC \ TGR	TGR 4.5% (Conservative)	TGR 5.5% (Base Case)	TGR 6.5% (Optimistic)
WACC 12.5% (Low risk)	Rs. 462	Rs. 509	Rs. 570
WACC 13.5% (Base)	Rs. 367	Rs. 417	Rs. 476
WACC 14.5% (High risk)	Rs. 291	Rs. 332	Rs. 380

SECTION 6 — FAIR VALUE ESTIMATE

VALUATION METHOD	FAIR VALUE/SHARE	WEIGHT	WEIGHTED VALUE
Primary: EV/EBITDA (11x FY28E EBITDA)	Rs. 657	70%	Rs. 460
Secondary: DCF (WACC 13.5%, TGR 5.5%)	Rs. 417	30%	Rs. 125

BLENDED FAIR VALUE

Rs. 555 - Rs. 605

**Midpoint:
Rs. 580**

- The wide band (Rs. 555 - Rs. 605) reflects the inherent divergence between EV/EBITDA (Rs. 657, growth-forward) and DCF (Rs. 417, FCF-constrained near-term). The midpoint of Rs. 580 is the analyst's considered estimate.
- The blended fair value arithmetic: $(Rs. 657 \times 70\%) + (Rs. 417 \times 30\%) = Rs. 460 + Rs. 125 = Rs. 585$; rounded band Rs. 555-605.

SECTION 7 — VALUATION VERDICT

- **Current Market Price:** Rs. 475 (as of 10-Jul-2026; 52W High Rs. 482 / Low Rs. 292)
- **Blended Fair Value Band:** Rs. 555 - Rs. 605 (Midpoint Rs. 580)
- **Premium / Discount to CMP:** CMP Rs. 475 is 18.1% BELOW the fair value midpoint of Rs. 580. At current levels, the market is effectively pricing GNA at 9.23x FY26 EV/EBITDA — a 16% discount to our 11x target multiple with zero credit for the EV Mobility optionality.
- **VERDICT: UNDERVALUED** — GNA Axles trades at a meaningful discount to intrinsic value owing to short-term cyclical headwinds in domestic tractor demand and investor scepticism around the GNA Mobility EV capex programme. The core axle business generates Rs. 238 Cr EBITDA at 16.1% margins — the highest in its listed history — while the stock has barely moved off multi-year lows. This is a valuation anomaly.
- **Historical Multiple Comparison:** GNA's own 3-year average EV/EBITDA (FY24-26) is approximately 9.5-10x. Current 9.23x sits at the lower end, suggesting the stock is cheap even relative to its own history.
- **Vs. Sector Peers:** Sona BLW trades at 35.7x EV/EBITDA, Bharat Forge at 34.5x, Endurance Tech at 18.3x. Even at GNA's smaller scale, a 11x target is deeply conservative — less than 40% of the large-cap peer average. The discount is justified for size; however, the gap is arguably too wide given GNA's export pedigree and EV pivot.

SECTION 8 — MARGIN OF SAFETY TABLE

- Fair value midpoint used: Rs. 580 | CMP: Rs. 475 (already at ~18% discount — highlighted below)

Level	MoS %	Entry Price	What You're Paying	Analyst Comment
Fair Value	0%	Rs. 580	At intrinsic value	No margin of safety; avoid initiating new positions here
Conservative Entry	10%	Rs. 522	10% below fair value	Moderate buffer; reasonable for long-term patient investor; expect this at minor market corrections
Comfortable Entry	15%	Rs. 493	15% below fair value	Good risk-reward; a small sell-off from current levels would bring the stock here
Ideal Entry (*CMP ~ Rs. 475*)	~18%	Rs. 464 - Rs. 475	At/near current price	*** CURRENT CMP ZONE *** — Strong downside protection; stock already near ideal entry. Initiating now is justified for a 12-18 month horizon.

Deep Value Entry	25%	Rs. 435	25% below fair value	Would appear only at a broad market correction; rare for a profitable, debt-light exporter; buy aggressively if reached
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SECTION 9 — PEER COMPARISON (Source: Screener.in, 10-Jul-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	EV/EBITDA	ROCE	ROE	Div Yield
GNA Axles (subject)	475	2,041	17.5x	2.0x	9.23x	14.3%	12.2%	N/A
Sona BLW Precision	669	41,586	63.9x	6.95x	35.7x	14.2%	11.3%	0.6%
Bharat Forge	2,117	1,01,211	85.8x	10.6x	34.5x	13.1%	12.5%	0.3%
Endurance Technologies	2,686	37,788	N/A	N/A	18.3x	17.4%*	N/A	0.5%
Sector Median (peers)	-	-	74.9x	8.8x	~29x	13.7%	11.9%	-

* Endurance ROCE is 3-year average. P/E and P/B not available on Screener page accessed. Sector Median computed from Sona BLW + Bharat Forge only.

- **GNA vs Sector Median:** GNA trades at 9.23x EV/EBITDA vs a sector median of ~29x for comparable auto component peers — a 68% discount. Even accounting for GNA's smaller scale (Rs. 2,041 Cr MCap vs Rs. 40,000-100,000 Cr for large caps), this discount is excessive for a business generating 14%+ ROCE.
- **Is the Premium/Discount Justified?** A mid-cap precision auto components supplier would typically trade at a 35-50% discount to large-cap peers on EV/EBITDA — implying a fair multiple of ~15-18x. GNA at 9.23x is well below this justified range, suggesting meaningful re-rating potential as EV revenues begin to materialise.
- **ROCE Comparison:** GNA's ROCE of 14.3% is broadly comparable to Sona BLW (14.2%) and Bharat Forge (13.1%), yet trades at a fraction of their EV/EBITDA multiples. The ROCE parity does not justify the multiple discount — this is the core valuation case.
- **Peer Group Quality Check:** Both Sona BLW and Bharat Forge are high-quality compounders with diversified revenue and EV exposure — their premium multiples partly reflect this quality. However, GNA is also developing EV driveline capability (GNA Mobility), which is yet to be priced in at current levels.

SECTION 10 — RISKS TO THE VALUATION

- **EV Capex Execution Risk (Downside)** — GNA Mobility's Rs. 800 Cr EV axle programme is the largest bet GNA has made. A 2-year delay or cost overrun by 20% adds ~Rs. 160 Cr to debt and suppresses EBITDA by Rs. 15-20 Cr (interest + higher depreciation). Fair value impact: -Rs. 35 to -Rs. 50/share (-6 to -9%). Probability: Medium. Monitor: quarterly capex and customer win announcements.
- **Domestic Tractor Cycle Downturn (Downside)** — Domestic tractor volumes are cyclical (3-4 year cycles). A weak monsoon or rural income squeeze could reduce domestic revenues by 10-15%, trimming EBITDA by Rs. 15-20 Cr. Fair value impact: -Rs. 25 to -Rs. 40/share (-4 to -7%). Probability: Medium. Monitor: CMIE tractor production data and IMD monsoon forecasts.
- **Export Customer Concentration Risk (Downside)** — Top 3 export customers likely contribute 30-40% of revenues. Loss of a major North American OEM contract or a US auto sector slowdown would disproportionately impact GNA. Working capital cycle (debtor days 151) exacerbates the cash impact. Fair value impact: -Rs. 50 to -Rs. 80/share (-9 to -14%). Probability: Low. Monitor: export revenue growth YoY and

customer diversification.

• **Rupee Appreciation Risk (Downside)** — With 45% export revenues billed in USD/EUR, a 5% INR appreciation reduces export realisation by ~Rs. 35 Cr, impacting EBITDA by similar quantum (minimal hedging). Fair value impact: -Rs. 15 to -Rs. 25/share (-3 to -4%). Probability: Medium. Monitor: USDINR spot rate and hedging disclosures.

• **EV Mobility Contract Wins (Upside)** — Securing a marquee EV OEM contract (e.g., a global EV truck maker) for GNA Mobility could re-rate the stock from a cyclical auto supplier to a high-growth EV play. Market could apply 20-25x EV/EBITDA. Fair value impact: +Rs. 100 to +Rs. 200/share (+17 to +34%). Probability: Low-Medium. Monitor: press releases and management guidance on EV orderbook.

• **Working Capital Normalisation (Upside)** — Debtor days of 151 days are elevated vs historical levels (~100-120 days in FY21-23). If the company tightens collections as export mix normalises, OCF could improve by Rs. 50-80 Cr/year, directly boosting FCF and reducing net debt. Fair value impact: +Rs. 20 to +Rs. 40/share (+3 to +7%). Probability: Medium. Monitor: quarterly debtor days trend.

• **Holding Company Discount / Pledge Risk (Downside)** — Promoter pledge of 4.36% (on 68.43% holding) is modest but non-zero. Any forced selling due to pledge invocation could temporarily depress the stock, creating a buying opportunity but also short-term volatility risk. Fair value impact: negligible intrinsically, but -5 to -10% on sentiment. Probability: Low. Monitor: quarterly shareholding pattern changes.

SECTION 11 — ANALYST'S CONVICTION NOTE

ANALYST'S CONVICTION — MORGAN STANLEY METHODOLOGY

In 20 years of covering Indian auto components, I rarely see a situation where a profitable, export-diversified manufacturer with accelerating EBITDA growth trades at less than 10x EV/EBITDA — barely above its pre-COVID trough valuation. GNA Axles at Rs. 475 is exactly that. The core business is structurally sound: margins expanded from 13.1% (FY24) to 16.1% (FY26), EBITDA has compounded at ~10% CAGR over three years, and balance sheet leverage is benign at 0.22x D/E with interest coverage of 12.9x. The market is penalising the stock for two reasons: near-term EPS dilution from rising depreciation as the EV capex goes live, and scepticism about whether GNA Mobility actually wins business. Both concerns are legitimate but are already priced in at current levels. The single biggest risk to my call is an EV contract execution failure — if GNA Mobility fails to win a major EV OEM customer by FY28, the Rs. 800 Cr capex becomes a value destroyer and the fair value drops by Rs. 80-100/share to approximately Rs. 480-500 — barely above current CMP. That is the bear case I lose sleep over. In my mental model of the Indian market, GNA sits squarely in the 'quality mid-cap at a trough valuation' bucket — a category that historically delivers 25-40% returns over 12-18 months when the cycle turns. My action is clear: ACCUMULATE at CMP Rs. 475, with an ideal entry zone of Rs. 450-480. I would add aggressively below Rs. 450 (25%+ discount to fair value) and take profit in stages above Rs. 580. If you already hold the stock from lower levels, HOLD — the thesis is intact and unfolding on schedule. Conviction level: MEDIUM-HIGH. The EV execution uncertainty is the only thing keeping this from a HIGH conviction BUY. Watch for: (a) GNA Mobility order announcements, (b) export revenue recovery in H2 FY27, (c) debtor days trend falling below 130 days — any two of these three triggers firing would move my conviction to HIGH.

ACTION

ACCUMULATE

Entry Zone

Rs. 450 - Rs. 480

Conviction	MEDIUM-HIGH	Ideal Entry	Below Rs. 480
Target (12-18 mo)	Rs. 580 (midpoint)	Upside from CMP	+22.1% to Rs. 580
Thesis Intact Trigger	GNA Mobility order win + debtor days decline	Stop Loss	Below Rs. 390 (bear case)

DISCLAIMER: This report is prepared for informational and educational purposes only and does not constitute investment advice or a solicitation to buy or sell securities. The valuation figures presented are the output of analytical models and are not guarantees of future returns. All financial data sourced from Screener.in (fetched 10-Jul-2026). Past performance is not indicative of future results. The analyst persona used in this report is illustrative. Consult a SEBI-registered investment advisor before making investment decisions.